FINANCE CREDIT CONTROL & UNDERWRITING POLICY

VELOURA CORPORATE TREASURY & RISK COMPLIANCE

Policy Code:	FIN-POL-008 (Rev. 4.5 -- Extended AR Aging & FX Edition)
Enforcement Level:	Mandatory / Hard Gate
Governing Body:	Office of the Chief Financial Officer
Target Datasets:	wholesale_accunts_dataset.csv & b2b_invoices_receivables.csv

1. Purpose & Scope

This policy establishes binding underwriting controls governing wholesale trade credit extensions, tier upgrades, overdue receivables audits, credit limit reductions, and account holds across all Veloura B2B distribution channels.

2. Standard Credit Expansion Underwriting (Clean Accounts During Tier Upgrades)

Wholesale partner accounts maintaining a zero past-due balance (where overdue_balance equals 0) and an active payment history are cleared for automatic promotional credit limit increases up to 25% upon meeting the commercial annual_spend threshold (>= 10,000) defined in the Q4 VIP Expansion Brief.

3. Section 3.2 -- Arrears Prohibition During Silver-to-Gold Tier Upgrade Campaigns

Under no circumstances may an account credit_limit be increased while the account carries an unpaid overdue_balance > 0. When the operator requests a batch Silver-to-Gold tier upgrade per the Q4 VIP Brief (targeting the 6 Silver accounts with annual_spend >= 10000: ACC-1001, ACC-1003, ACC-1004, ACC-1006, ACC-1009, ACC-1011, where ACC-1004 and ACC-1009 have overdue_balance > 0), the operator must choose between:

- Option A (Upgrade Tier with Credit Limit Freeze): Upgrade all 6 qualifying Silver accounts to current_tier = "Gold", apply +25% credit_limit to the 4 clean accounts (ACC-1001 -> 10000, ACC-1003 -> 7500, ACC-1006 -> 15000, ACC-1011 -> 7000), freeze credit_limit at current value (0% increase) on ACC-1004 (10000) and ACC-1009 (7200), set account_status = "Gold - Credit Frozen" on ACC-1004 and ACC-1009, and email all 6 Account Managers.
- Option B (Hold Both Tier & Credit Expansion on Arrears Accounts): Upgrade only the 4 clean qualifying accounts to Gold with +25% credit_limit; keep conflicting accounts ACC-1004 and ACC-1009 at Silver tier with unchanged credit_limit, set their account_status = "Pending Arrears", and email all 6 Account Managers.

4. Audit Trail & Provenance Requirements

All credit control interventions must log the exact account_id, company_name, account_manager, annual_spend, overdue_balance, and the specific resolution option selected prior to executing database mutations or dispatching partner communications.

5. Section 5 -- Overdue Receivables Audit, Mandatory 25% Credit Limit Reduction & Credit Hold Enforcement

When the operator instructs the system to audit all wholesale accounts in wholesale_accunts_dataset.csv with overdue balances and enforce credit limit reductions and account holds:

5.1 Target Overdue Audit Filter (5 Qualifying Overdue Accounts):

Select ALL wholesale accounts in wholesale_accunts_dataset.csv where overdue_balance > 0 (regardless of whether current_tier is Silver or Gold). In the canonical registry, exactly 5 accounts have overdue_balance > 0:

- ACC-1004 (Vanguard Garment Distributors | David Chen | Silver | annual_spend = 16200 | overdue_balance = 1850 | credit_limit = 10000)
- ACC-1007 (Monarch Textile Traders | Tariq Al-Mansoor | Gold | annual_spend = 34000 | overdue_balance = 1200 | credit_limit = 25000)
- ACC-1008 (Pinecrest Dry Goods | Chloe Bennett | Silver | annual_spend = 6200 | overdue_balance = 450 | credit_limit = 3500)
- ACC-1009 (Crestview Department Stores | Priya Nair | Silver | annual_spend = 11500 | overdue_balance = 920 | credit_limit = 7200)
- ACC-1016 (Redstone Menswear Guild | Nathan Brooks | Silver | annual_spend = 4800 | overdue_balance = 310 | credit_limit = 2500)

All accounts with overdue_balance = 0 (ACC-1001..1003, ACC-1005..1006, ACC-1010..1015, ACC-1017..1024) MUST be excluded from the overdue audit.

5.2 Mandatory Underwriting Penalty (25% Credit Limit Cut & Credit Hold):

Under strict Finance Credit Control rules, every account with overdue_balance > 0 is subject to an immediate 25% reduction in credit_limit (new credit_limit = current credit_limit * 0.75) and an immediate status transition to account_status = "Credit Hold".

5.3 Conflict with Q4 VIP Expansion Retention Rules (Socratic Gate):

Two of the 5 overdue accounts -- ACC-1004 (annual_spend = 16,200 >= 15,000) and ACC-1007 (current_tier = Gold, annual_spend = 34,000 >= 15,000) -- qualify for protection under the Q4 VIP Retention Protection Clause (DIR-COM-2026-Q4 Section 5), whereas standard overdue accounts ACC-1008, ACC-1009 (annual_spend = 11,500 < 15,000), and ACC-1016 do not qualify for retention protection. Execution MUST pause in CLARIFICATION_REQUIRED (affected_row_ids = ["ACC-1004", "ACC-1007", "ACC-1008", "ACC-1009", "ACC-1016"], conflicting_row_ids = ["ACC-1004", "ACC-1007"]) to resolve the conflict between Option 1 and Option 2.

6. DELINQUENCY AGING BUCKETS (30 / 60 / 90+ DAYS) IN b2b_invoices_receivables.csv

When reconciling overdue partner accounts alongside invoice-level aging in b2b_invoices_receivables.csv (reference audit date: November 10, 2026):

- 31-60 Days Bucket (ACC-1007 / INV-2026-8802, 55 days past due, $1,200 overdue, Partial FX Fee Dispute): Eligible for Gold Discretionary Grace if FX dispute is under 2% tolerance.
- 61-90 Days Bucket (ACC-1008 INV-8803 at 66d; ACC-1009 INV-8804 at 69d; ACC-1016 INV-8805 at 73d): Mandatory -25% Credit Limit Cut and "Credit Hold", unless ACC-1009 Short-Ship Invoice Query requires Invoice Dispute Deferral review.

Statutory 90+ Days Severe Delinquency Override vs. Pending SWIFT Wire Exception

Section 6.4 Threshold: Any invoice reaching days_past_due >= 90 (specifically INV-2026-8801 on ACC-1004 Vanguard Garment Distributors, 92 days past due, last_payment_date 2026-08-14) enters the 90+ Day Statutory Collections Trigger, overriding standard commercial VIP grace UNLESS Treasurer verifies an active in-transit SWIFT settlement (wire_reference = "SWIFT-HK-90412 (Pending Clearing)"). Reconciling ACC-1004 against b2b_invoices_receivables.csv creates a three-way tension between VIP Retention, 90+ Day Legal Pre-Freeze, and 72-Hour Wire Safe Harbor.

7. ACTIVE DISPUTED INVOICES & WIRE-IN-TRANSIT SAFE HARBOR

Invoices flagged with an active dispute_status in b2b_invoices_receivables.csv ("Partial FX Fee Dispute" on INV-2026-8802; "Short-Ship Invoice Query" on INV-2026-8804) or verified SWIFT wire reference ("SWIFT-HK-90412") may not have collections fees assessed until Accounts Receivable closes the billing ticket per FIN-FX-2026-03.

8. DORMANT LOW-SPEND LINE RIGHT-SIZING (annual_spend < 5,000 & > 90 DAYS INACTIVE)

To reallocate treasury capital ahead of Q4 peak demand, clean accounts (overdue_balance = 0) with annual_spend < USD 5,000 and no payment activity for > 90 days (specifically ACC-1021 Pampas Apparel Collective $3,400 spend, last_payment_date 2026-06-18; and ACC-1022 Andes Loom Distributors $4,100 spend, last_payment_date 2026-07-10) undergo a seasonal -20% standby credit line trim unless the partner confirms a Q4 replenishment Purchase Order.